Pricing a Peak Year as Permanent: A Valuation Study of Howmet Aerospace (NYSE: HWM)

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Abstract

This paper asks whether Howmet Aerospace's share price of $205.81 is justified by the company's fundamentals. The analysis draws on Howmet's 2025 annual report, its third-quarter 2026 quarterly report, its earnings releases, and the filings of five comparable companies. Howmet's business quality is not in dispute. Its adjusted EBITDA margin rose from 25.8% in 2024 to 32.5% in the third quarter of 2026, and its free cash flow equals about 95% of net income. The valuation is harder to defend. A ten-year discounted cash flow (DCF) model values the shares at $94 when cash flows are discounted at a 10.45% cost of capital. To justify the current price, the discount rate would have to fall to about 6.6%. Trading multiples point the same way once growth is measured against management's 2027 outlook instead of 2026's acquisition-assisted results. Equally weighting four valuation methods produces a fair value of $151 and a twelve-month price target of $167, which implies a total return of about –19%. The paper concludes that the stock is overvalued and that a short position is warranted. The conviction is moderate, because the conclusion depends on how much weight the DCF receives.

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1. Introduction

Few industrial companies have performed as well as Howmet Aerospace over the past two years. The Pittsburgh-based manufacturer makes jet-engine airfoils, aerospace fasteners, titanium structures, and forged truck wheels. It grew third-quarter 2026 revenue by 29% from a year earlier, raised its full-year guidance several times, and authorized an additional $5 billion of share repurchases (Howmet Aerospace, 2026d). Investors rewarded this performance with one of the highest valuations in the aerospace supply chain.

High-quality businesses can still be poor investments when their share prices already assume continued excellence. This paper tests that possibility. Its thesis is that **Howmet's share price treats 2026, a year inflated by acquisitions and an unusual surge in demand, as the company's new normal. Because management's own outlook implies that growth will roughly halve in 2027, the shares are worth materially less than their current price.**

The paper proceeds in six steps. Section 2 describes the data and methods. Section 3 explains why Howmet's profitability is genuine. Sections 4 through 6 present three arguments for overvaluation: the growth rate the market is capitalizing, the discount rate the price implies, and the company's cash yield and rising capital needs. Section 7 examines the stock's recent 22% decline. Section 8 reports the valuation results, and Section 9 considers the strongest counterarguments before the paper concludes.

2. Data and Method

All financial statement data come from Howmet's filings with the U.S. Securities and Exchange Commission. These are the annual report on Form 10-K for 2025 (Howmet Aerospace, 2026a) and the quarterly report on Form 10-Q for the period ending September 30, 2026 (Howmet Aerospace, 2026b). Adjusted figures and management guidance come from the company's earnings releases for the fourth quarter of 2025 and the third quarter of 2026 (Howmet Aerospace, 2026c, 2026d). Each historical figure in the accompanying model was reconciled to the reported total. For example, the model's calculated operating income matches the reported figure in every period.

The comparison group includes TransDigm, HEICO, ATI, Carpenter Technology, and Woodward. All of them are aerospace component or specialty-materials suppliers, and Howmet's annual report names ATI as a principal competitor (Howmet Aerospace, 2026a). Their financial data come from the SEC's structured XBRL database (U.S. Securities and Exchange Commission, 2026). Because the five companies have different fiscal years, every figure is calculated on a "last twelve months" basis: the latest fiscal year, plus the current year-to-date, minus the prior year-to-date. Share prices are closing prices on November 6, 2026 (Stock Analysis, 2026). The risk-free rate is the 10-year U.S. Treasury yield of 4.84% (Federal Reserve Bank of St. Louis, 2026).

The paper uses four valuation methods:

1. A ten-year DCF with a perpetuity-growth terminal value
2. A five-year DCF with an exit-multiple terminal value
3. A peer-median enterprise value to EBITDA multiple
4. A peer-median price-to-earnings multiple

The cost of equity comes from the capital asset pricing model, using a beta of 1.20. That is consistent with published estimates of 1.19 (Yahoo Finance, 2026) and 1.21 (Dividend Vision, 2026), and an assumed equity risk premium of 5%. Combined with an after-tax cost of debt of 3.4%, this produces a weighted average cost of capital (WACC) of 10.45%. The beta and the risk premium are assumptions rather than measured facts, and Section 6 shows how sensitive the results are to them.

3. The Quality of the Business

Any argument for overvaluation must first acknowledge what the market gets right. Howmet's profitability is unusually high for a manufacturer, and the evidence suggests it is durable.

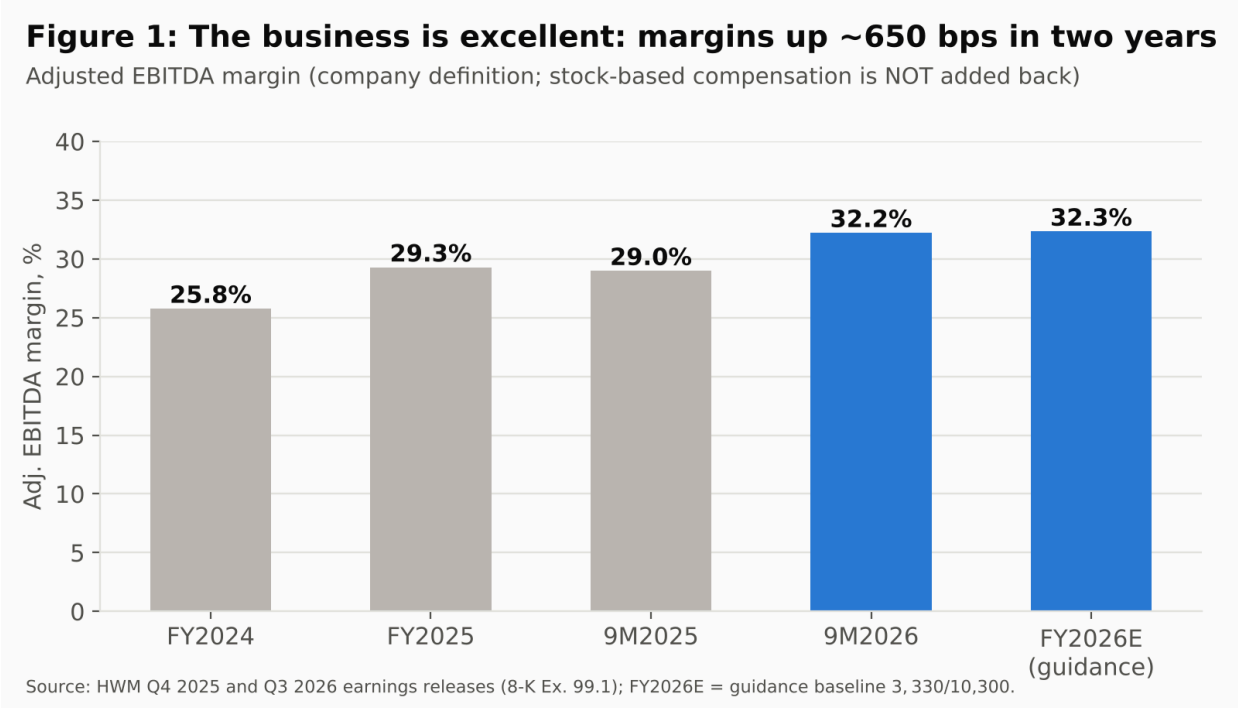


Figure 1. Howmet's adjusted EBITDA margin, 2024 to 2026. Sources: Howmet Aerospace (2026c, 2026d).

Three features explain these margins. First, aerospace engine components must be certified separately for each engine program. Switching suppliers is therefore slow and risky for customers. Howmet's annual report lists only a handful of serious competitors in castings and forgings, chief among them Precision Castparts, which is owned by Berkshire Hathaway (Howmet Aerospace, 2026a). Second, Howmet has demonstrated pricing power. Its most recent quarterly report states that price increases were "in excess of material and inflationary cost pass through" (Howmet Aerospace, 2026b). Third, Howmet benefits from demand for replacement engine parts. Management repeatedly credits "engine spares" for its growth, though the company does not report spare-parts revenue separately.

The company's financial statements support these qualitative claims. Generally accepted accounting principles (GAAP) operating margin rose from 18.1% in 2023 to 29.6% in the first nine months of 2026. In 2025, free cash flow of $1.43 billion equaled 95% of net income, which suggests that reported earnings are turning into cash rather than being inflated by accounting accruals (Howmet Aerospace, 2026a). In February 2026, Fitch upgraded Howmet's credit rating to A- (Howmet Aerospace, 2026b). This paper does not dispute the quality of the business. It disputes the price.

4. The Market Is Capitalizing a Temporary Growth Rate

The first argument concerns which growth rate investors should use. Howmet began 2026 expecting revenue of $9.1 billion and adjusted earnings per share of $4.45 (Howmet Aerospace, 2026c). By October, those figures had risen to $10.3 billion and $5.50 (Howmet Aerospace, 2026d). Part of this increase reflects genuine strength, since organic revenue grew 25% in the third quarter. Part of it was purchased. In 2026 Howmet acquired Consolidated Aerospace Manufacturing from Stanley Black & Decker for about $1.8 billion, and Brunner Manufacturing for about $120 million (Howmet Aerospace, 2026b).

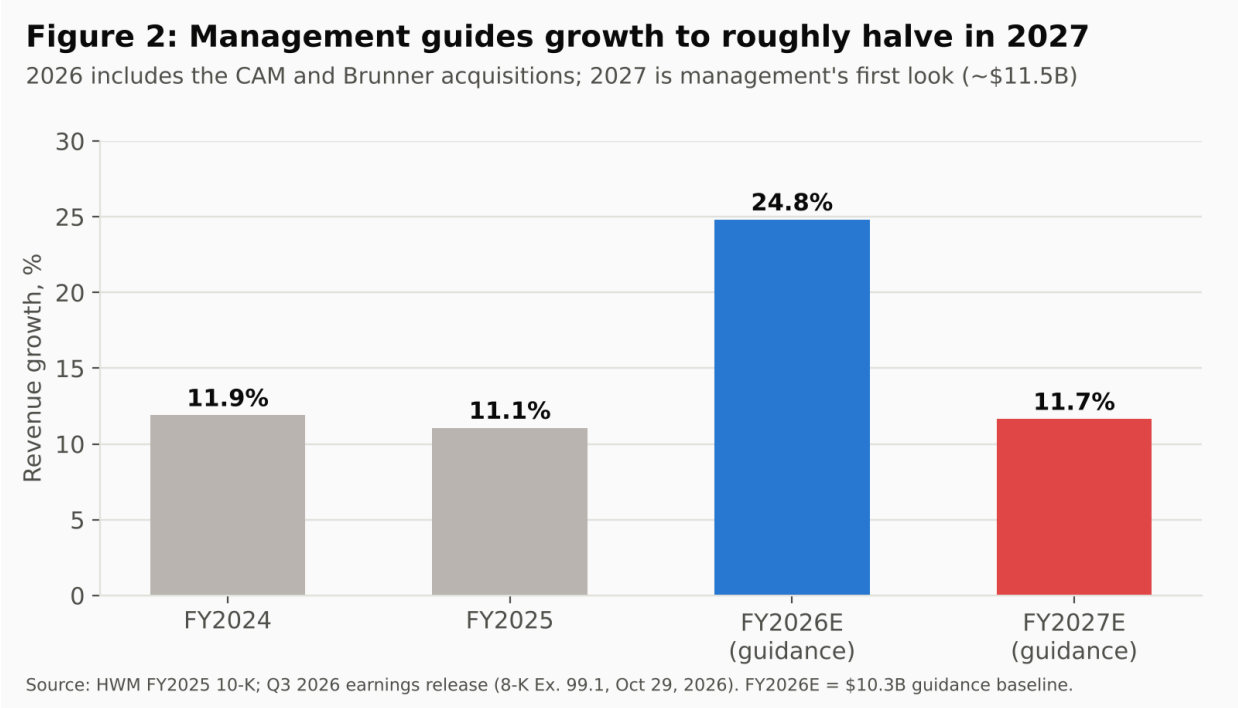


Figure 2. Annual revenue growth, including management guidance for 2026 and 2027. Sources: Howmet Aerospace (2026a, 2026d).

Management's first outlook for 2027 calls for revenue of approximately $11.5 billion, which is growth of 11.7%, compared with 24.8% in 2026 (Howmet Aerospace, 2026d). That is still a healthy rate, but it is less than half of the current one. The choice between these two growth rates determines whether the stock looks cheap or expensive.

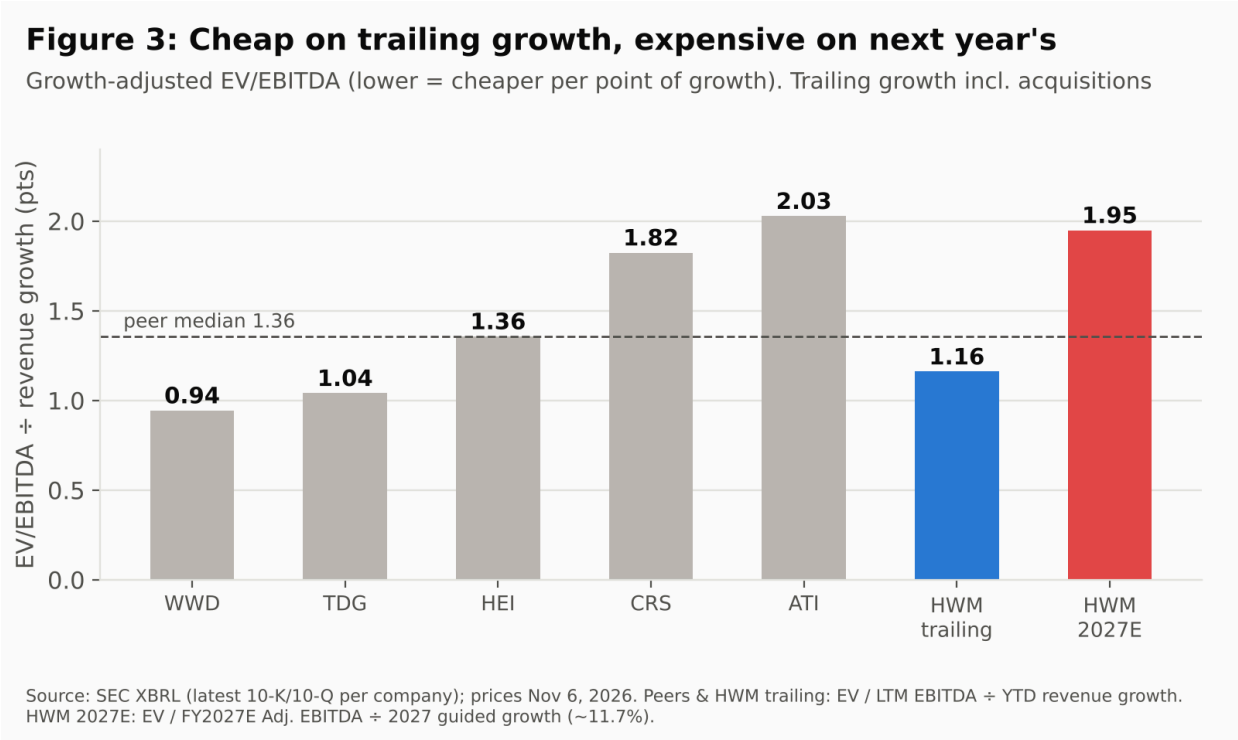


Figure 3. Enterprise value to EBITDA divided by revenue growth for Howmet and its peers. Sources: U.S. Securities and Exchange Commission (2026); Stock Analysis (2026); author's calculations.

Figure 3 divides each company's EV/EBITDA multiple by its revenue growth rate, which shows how much an investor pays for each point of growth. Measured against trailing growth, Howmet's ratio of 1.16 is below the peer median of 1.36, so the stock looks inexpensive. Measured against 2027 guided growth, its ratio rises to 1.95, among the highest in the group. One limitation applies: Howmet's forward figure is compared with the peers' trailing figures, because forward estimates for the peers were not available from a primary source. Even so, the comparison shows that the bullish case relies on growth that management itself does not expect to continue.

5. The Price Implies an Unrealistically Low Discount Rate

The second argument comes from the DCF analysis. The model projects five explicit years (2027 through 2031). It then adds a five-year "fade" period in which growth slows from 6% to a long-run rate of 3%. The projections are not deliberately pessimistic. The model's 2026 earnings estimate of $5.43 per share is within eight cents of management's guidance. It also assumes margins expand to 34% and that revenue reaches management's 2027 target.

At a 10.45% WACC, this model values Howmet at $94 per share. A more revealing question is what discount rate would make the model's value equal to the current share price.

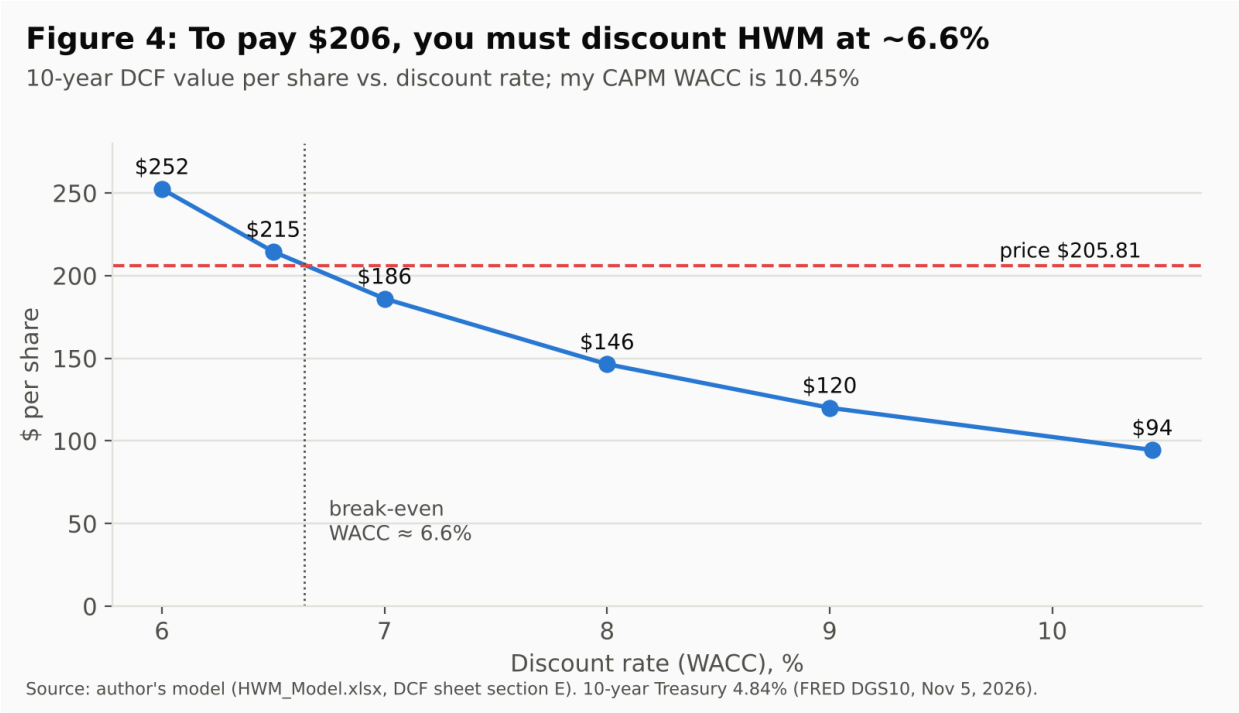


Figure 4. Ten-year DCF value per share at different discount rates. Source: author's model.

As Figure 4 shows, the break-even discount rate is approximately 6.6%. That is less than two percentage points above the 10-year Treasury yield, for a stock whose beta is about 1.2. Investors buying at $205.81 are therefore either accepting a very low expected return or assuming growth well above management's outlook. A reverse DCF reaches a similar conclusion. For the current price to earn the 10.45% cost of capital, the market would still need to value Howmet at about 24 times EBITDA in 2031, after five more years of growth.

6. Cash Yield and the Capital Cycle

The third argument concerns cash. At the current price, Howmet's 2026 free cash flow guidance of $2.0 billion represents a yield of 2.4% on its market value, roughly half the yield of a 10-year Treasury bond (Howmet Aerospace, 2026d; Federal Reserve Bank of St. Louis, 2026). Investors are accepting less cash today than a risk-free bond would pay, in exchange for future growth.

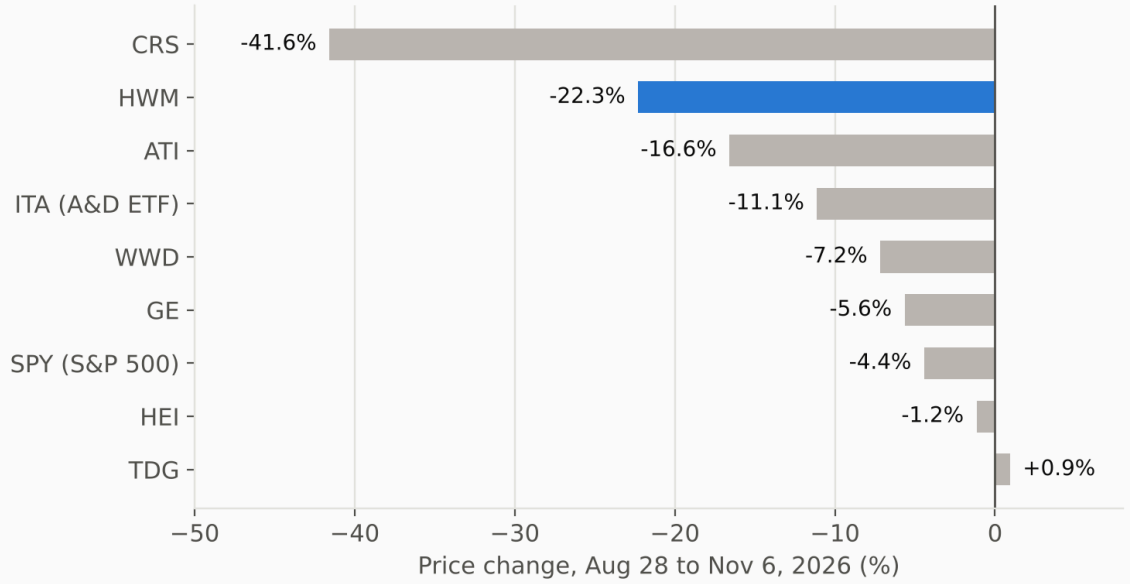
That growth will require investment. Capital expenditures rose from 3.3% of sales in 2023 to 5.5% in 2025, and management has said its capital plans "envisage elevated spend beyond 2027" to expand capacity for aerospace and gas turbines (Howmet Aerospace, 2026a, 2026d). Working capital (receivables plus inventory minus payables) grew from $1.78 billion to $2.26 billion in the first nine months of 2026 (Howmet Aerospace, 2026b). Howmet can afford this investment. But new capacity is the industry's response to tight supply, and tight supply is the source of today's pricing power. As capacity grows, that pricing power is likely to weaken.

7. Interpreting the Recent Decline

A reasonable objection is that the stock has already fallen. Howmet's shares dropped 22%, from $264.85 on August 28, 2026 to $205.81 on November 6 (Stock Analysis, 2026).

Figure 5: The sell-off was concentrated in aerospace metals names

HWM fell 22% alongside specialty-alloy makers CRS and ATI; TDG and HEI were roughly flat



Source: daily closing prices, stockanalysis.com (retrieved Nov 7, 2026). Price return only.

Figure 5. Share price change from August 28 to November 6, 2026. Source: Stock Analysis (2026).

Comparing Howmet with related stocks helps interpret the decline. Over the same period, Carpenter Technology fell 42% and ATI fell 17%, while TransDigm and HEICO were roughly unchanged and the S&P 500 fell 4%. The decline was concentrated among aerospace metals producers, and Howmet's shares actually rose 5.5% on the day it reported third-quarter results. The decline therefore does not appear to reflect disappointment with Howmet's own performance. No sourced explanation for the sector-wide move was found, so this paper does not assume one. Even after the decline, Howmet trades at 25.9 times management's 2026 EBITDA guidance, a 23% premium to its peers' median multiple. The correction has started, but by these measures it is not complete.

8. Valuation Results

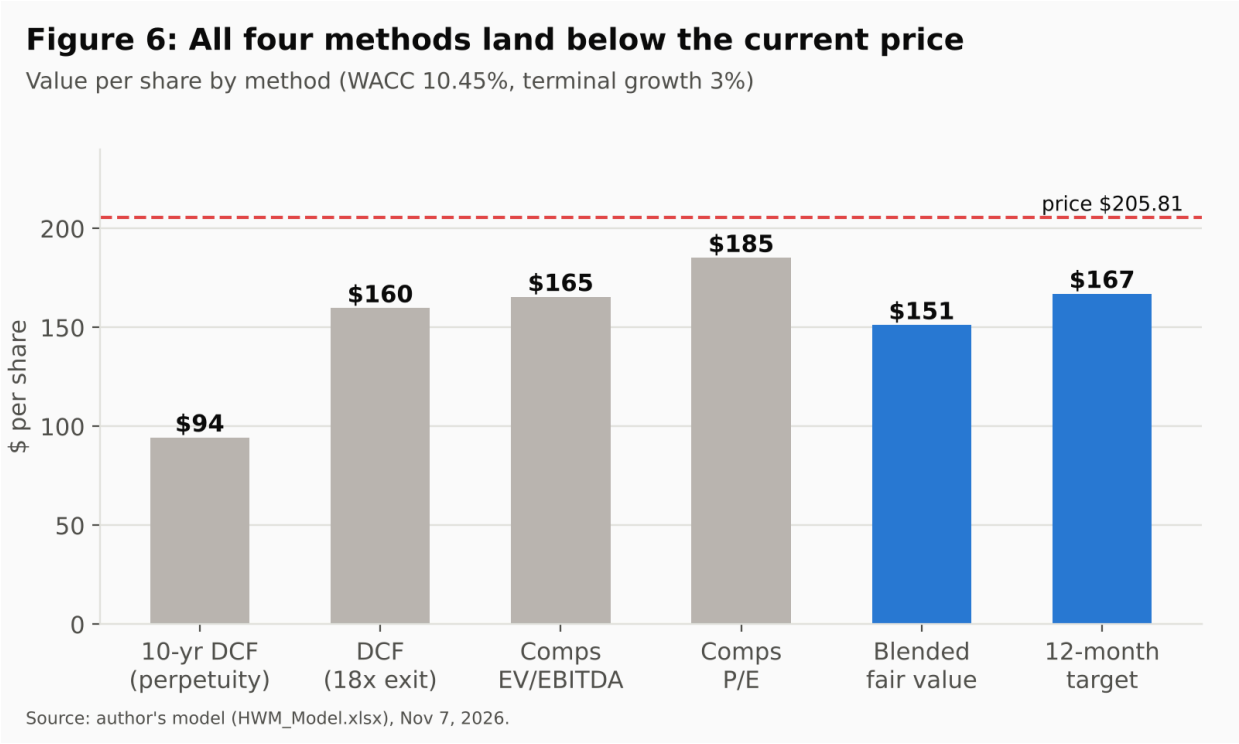


Figure 6. Value per share by valuation method. Source: author's model.

All four methods produce values below the current share price. The ten-year DCF gives $94. The five-year DCF, using an exit multiple of 18 times 2031 EBITDA, gives $160. Applying the peer median EV/EBITDA multiple of 22.9 gives $165, and applying the peer median price-to-earnings multiple of 36.3 gives $185. Weighting the four equally produces a fair value of $151 per share. Rolling that value forward one year at the 10.8% cost of equity and subtracting $0.56 of expected dividends gives a twelve-month price target of **$167**, about 19% below the current price.

The result is sensitive to method selection. If the DCF is excluded, the blended target rises to about $188, an expected decline of only 8%. Under a decision rule set before the analysis was run (short if the expected return is worse than –15%, long if better than +15%, otherwise neutral), that alternative would produce a neutral recommendation. The DCF remains in the blend because it is the only method that does not depend on how other aerospace stocks are currently priced. Readers who distrust DCF models should treat this paper's conclusion as "avoid" rather than "sell short."

9. Counterarguments

Four counterarguments deserve serious consideration.

Momentum. Howmet has raised guidance repeatedly in 2026, and short positions against companies that keep exceeding expectations often lose money.

Buybacks. The company's $5.4 billion of repurchase authorization equals about 6.6% of its market value, which provides steady demand for the shares (Howmet Aerospace, 2026d).

Gas turbines. Gas-turbine revenue grew 45% in the third quarter, and management says customers want volumes "beyond previous expectations" (Howmet Aerospace, 2026d). If this market becomes as large as commercial aerospace, the model's growth assumptions are too low.

Scarcity. Very few publicly traded companies offer pure exposure to aerospace components, and investors may keep paying a premium for the ones that exist.

In the model's optimistic scenario, an exit multiple of 26 times EBITDA with an 8.5% discount rate, the shares would be worth about $243, roughly 18% above today's price. Because the potential loss on a short position is unlimited, the position should be small, with a stop-loss at $245.

Several upcoming events will test the thesis. The most important is the full 2027 guidance, expected around February 2027 based on the timing of last year's release (Howmet Aerospace, 2026c). If guided 2027 EBITDA growth is no faster than revenue growth of about 12%, the thesis is strengthened. If EBITDA growth reaches 20% or more, or if 2027 revenue guidance rises well above $11.5 billion, the thesis is weakened and the position should be closed.

10. Conclusion

Howmet Aerospace is an exceptional business with durable advantages, rising margins, and strong cash generation. None of those strengths is in question. The question is whether investors have paid too much for them. The evidence in this paper suggests that they have:

- The share price is consistent with 2026's acquisition-assisted growth rate, not with the slower growth management expects for 2027.
- It implies a discount rate of about 6.6%, barely above the risk-free rate.
- It offers a free-cash-flow yield below that of a Treasury bond.

All four valuation methods produce values below the current price. Equal weighting gives a twelve-month target of $167. This paper therefore recommends a short position in Howmet Aerospace at $205.81, with moderate conviction, a target of $167 by November 2027, and a stop-loss at $245.

Disclosure: The author holds no position in HWM. This paper is for educational purposes and is not investment advice. The full financial model, with live formulas and sourced inputs, is available as HWM_Model.xlsx.

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